

Subject Description Form

Subject Code	AF4614
Subject Title	International Economics
Credit Value	3
Level	4
Pre-requisite	AF1605 Introduction to Economics or equivalent
Objectives	This subject contributes to the achievement of the BBA programme outcomes by enabling students to recognize and understand global economic integration, global trends and opportunities, and cultures in the national and global contexts (Outcome 2). It also aims to develop students' ability to identify and analyze the means by which values are created in resources allocation and product/service provision (Outcome 6).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. Learn fundamental concepts and theories of international economics b. Identify, define and formulate problems in a systematic approach to generate workable solutions to problems in international economics c. keep abreast of global developments and adapt to changing environments
Subject Synopsis/ Indicative Syllabus	1. A General Framework of Globalization Evidence of globalization; Map of World Trade, Map of Foreign Direct Investment, Trend of Fragmentation, Drivers of Globalization 2. Trade and Technology: The Ricardian Model Differences in Technology and Productivity, Gains from Trade 3. Trade and Resources: The Heckscher-Ohlin Model Differences in Factor Endowments and the Pattern of Trade 4. New Trade Theory: Increasing Returns to Scale and Imperfect Competition North-North Trade, Intra-Industry Trade, Monopolistic Competition, Love of Variety 5. "New" New Trade Theory: Firm Heterogeneity Theory Heterogeneous Firm Behavior, Firm Heterogeneity Theory; Effects of Trade liberalization

	6. Trade Policies Tariffs, Quotas and Non-Tariff Barriers, the nature of trade restrictions, their effects are and why they exist, Economic Arguments for Intervention 7. Multinational Firms and Foreign Direct Investment Characteristics of MNE activity, OLI Theory, Horizontal Direct Investment and Vertical Direct Investment, Green-field investment vs. Acquisition 8. Foreign Outsourcing of Goods and Services Vertical boundaries of the firm, The trend of global outsourcing, the Comparison between outsourcing and in-house production																																																												
Teaching/Learning Methodology	Lectures will be used for introducing the key concepts about the theories of international economics During tutorials, students will be divided into smaller groups which will form the focus of activities including presentations and discussion. A variety of assessment tools will be used, including class attendance, presentation, written report, participations in class, test and examination designed to develop critical thinking as well as analytical and communication skills.																																																												
Assessment Methods in Alignment with Intended Learning Outcomes	<table border="1"> <thead> <tr> <th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th></th></tr> </thead> <tbody> <tr> <td>1. Attendance and Participation</td><td>10 %</td><td>√</td><td>√</td><td>√</td><td></td><td></td><td></td></tr> <tr> <td>2. Presentation and Assignment</td><td>20 %</td><td>√</td><td>√</td><td>√</td><td></td><td></td><td></td></tr> <tr> <td>3. Midterm examination</td><td>20 %</td><td>√</td><td>√</td><td>√</td><td></td><td></td><td></td></tr> <tr> <td>4. Final Examination</td><td>50 %</td><td>√</td><td>√</td><td>√</td><td></td><td></td><td></td></tr> <tr> <td>Total</td><td>100 %</td><td colspan="6"></td></tr> </tbody> </table>							Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e		1. Attendance and Participation	10 %	√	√	√				2. Presentation and Assignment	20 %	√	√	√				3. Midterm examination	20 %	√	√	√				4. Final Examination	50 %	√	√	√				Total	100 %						
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Student Study Effort Expected	Class contact:																																																												
	▪ Lecture				26 Hrs.																																																								
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	Other student study effort:	
	▪ Self study and homework preparation	66 Hrs.
	Total student study effort	105 Hrs.
Reading List and References	Krugman, Paul and Maurice Obstfeld, <i>International Economics: Theory and Policy</i>, Addison Wesley, latest edition. Robert Feenstra and Alan Taylor, <i>International Economics</i>, Worth Publishers, latest edition. <i>The Economist</i> <i>The Wall Street Journal</i>	